CHAPTER 11

OPEN ECONOMY MACROECONOMICS

CHAPTER ESSENCE AT A GLANCE:
Master external linkages, Balance of Payments (Current and Capital accounts, autonomous vs accommodating flows), and foreign exchange rate regimes (Flexible, Fixed, and Managed Float).

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Linkages in an Open Economy:** An open economy interacts with the global market via three linkages: Output market (exporting and importing goods and services), Financial market (buying foreign financial assets), and Factor market.

• **Balance of Payments Structure:** BOP records all economic transactions between residents and rest of the world; partitioned into Current Account (merchandise trade, invisibles, transfers) and Capital Account (FDI, FPI, external borrowings).

• **Autonomous vs Accommodating Transactions:** Autonomous transactions ('above the line') are motivated by commercial profit considerations; Accommodating transactions ('below the line') are determined by the need to bridge the resulting BOP deficit or surplus.

• **Foreign Exchange Regimes:** Flexible exchange rate is determined entirely by market demand and supply of foreign currency; Fixed exchange rate is pegged by the Central Bank; Managed Floating allows market fluctuation with Central Bank intervention to dampen volatility.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Balance of Trade (BOT)} = \text{Export of Merchandise Goods} - \text{Import of Merchandise Goods}$$
Visible Trade Balance Component of Current Account

$$\text{Current Account Balance} = \text{BOT} + \text{Net Services} + \text{Net Transfers} + \text{Net Factor Income}$$
Aggregate Non-Capital External Payment Balance

$$\text{Real Exchange Rate (RER)} = e \times \frac{P_f}{P} \rightarrow \text{International Purchasing Power}$$
Relative Price of Foreign Goods in Domestic Currency Terms

$$\text{Overall BOP Balance} \iff \text{Current Account} + \text{Capital Account} + \text{Statistical Errors} \equiv 0$$
Accounting Balance of Payments Equilibrium

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Balance of Trade includes ONLY export and import of physical merchandise (visible goods); services and transfer payments are excluded from BOT but included in Current Account.

• **Alert:** Depreciation of domestic currency makes domestic exports cheaper and foreign imports costlier; Devaluation refers to the same outcome but deliberately pegged by government under a Fixed exchange regime.

• **Alert:** Accommodating transactions are also known as 'below the line' items; they are undertaken by monetary authorities to finance the BOP surplus or deficit.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Distinguish between Balance of Trade (BOT) and Current Account Balance. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Coverage:** Balance of Trade records only export and import of physical merchandise (visible goods); Current Account records both visible goods and invisible items (services, remittances, unilateral gifts, factor income). **[1.5 Marks]**

• **Scope:** Balance of Trade is a narrow concept and is merely one component of the Current Account; Current Account represents the broader external balance on non-capital international transactions. **[1.5 Marks]**

2. Explain the major components of the Capital Account of the Balance of Payments. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Concept:** Capital account records all international transactions of assets between residents of a country and the rest of the world that cause a change in asset or liability status. **[1 Mark]**

• **1. Foreign Investments:**
• Foreign Direct Investment (FDI): Purchasing physical assets, factories, or controlling equity in domestic enterprises.
• Foreign Portfolio Investment (FPI): Purchasing domestic stocks, shares, and bonds by foreign institutional investors (FIIs). **[1.5 Marks]**

• **2. External Borrowings and Assistance:** Commercial borrowings by corporations from international markets and concessional government loans from international agencies. **[1 Mark]**

• **3. Banking Capital and NRI Deposits:** External financial assets and liabilities held by commercial banks including non-resident deposits. **[0.5 Mark]**

3. Distinguish between Autonomous Transactions and Accommodating Transactions in the Balance of Payments. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Autonomous Transactions:** Economic transactions undertaken for independent economic motives (such as private profit maximization), independent of the state of the BOP. Termed 'Above the Line' items. **[1.5 Marks]**

• **Accommodating Transactions:** Transactions undertaken by the central bank or monetary authorities to cover the net deficit or surplus resulting from autonomous transactions. Termed 'Below the Line' items. **[1.5 Marks]**

4. How is the foreign exchange rate determined in a Flexible Exchange Rate market? Explain with a diagram description. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Market Equilibrium Principle:** Under a flexible exchange rate regime, the exchange rate is determined by the interaction of demand for foreign exchange and supply of foreign exchange in the foreign exchange market. **[1.5 Marks]**

• **Demand for Forex:** Arises to import foreign goods, purchase foreign assets, and travel abroad; demand curve slopes downward because a lower price of dollar makes foreign goods cheaper, increasing demand for dollars. **[1 Mark]**

• **Supply of Forex:** Arises from export of domestic goods, foreign tourism, and FDI inflows; supply curve slopes upward because higher dollar price increases profitability of domestic exports. **[1 Mark]**

• **Equilibrium:** Equilibrium exchange rate is established where demand curve intersects supply curve of foreign exchange. **[0.5 Mark]**

5. Distinguish between Currency Depreciation and Currency Devaluation. What is the impact of currency depreciation on a nation's exports? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Distinction:** Currency Depreciation is the fall in the value of domestic currency in terms of foreign currency driven by market forces of demand and supply in a flexible exchange system. Currency Devaluation is an official administrative downward reduction in currency value by the government under a fixed exchange system. **[1.5 Marks]**

• **Impact on Exports:** Depreciation makes domestic goods cheaper in terms of foreign currency, stimulating foreign demand and increasing the physical volume and value of domestic exports. **[1.5 Marks]**

6. What is meant by Managed Floating Exchange Rate? Why is it also termed 'Dirty Floating'? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A hybrid system where exchange rates are primarily determined by market demand and supply forces, but the Central Bank intervenes by buying or selling foreign currency to stabilize extreme exchange rate volatility. **[1 Mark]**

• **Why Termed 'Dirty Floating':** It is colloquially termed 'dirty floating' because the market is not purely free; strategic central bank interventions manipulate the market exchange rate to serve domestic policy objectives. **[1 Mark]**